BUSINESS OWNER GUIDE · 2026

SBA Loans: The Numbers That Matter

Buying a business, buying your building, or refinancing a loan that's coming due

BRG Realty Corp

At a glance

	SBA 7(A)	SBA 504
Best for	Buying a business, working capital, buyouts	Owner-occupied buildings, major equipment
Maximum	$5 million	SBA portion up to $5M ($5.5M manufacturing)
Down	About 10% on a business purchase	10% standard · 15% startups · 20% special-use
Rate	Variable; capped at prime + 3%	Fixed, recently ~6.6–7.0%
Term	10 yrs business · 25 yrs real estate	10, 20 or 25 years · SBA portion fixed

How the math works

Buying a $1.5M business

10% down ($150K). $1.35M 7(a) at 10% over 10 years.

≈ $17,840 / month

Business needs ~$270K/yr cash flow (1.25 coverage).

Short on cash? Seller note

Seller carries up to half the down payment ($75K here) if it's on full standby for the life of the loan.

$75K down instead of $150K

Buying a $3M building (504)

$300K down · $1.5M bank · $1.2M SBA fixed · 25 yrs

≈ $19,500 / month

Build equity instead of paying rent.

504 bank loan coming due

$2M over 25 yrs: ~$10,557/mo at 4%. At 7%:

≈ $14,136 / month

About $3,600 more. Plan 6–12 months ahead.

New rules to know

- Most business purchases again require about a 10% equity injection (SOP 50 10 8).
- A seller who keeps any ownership must personally guarantee the loan for 2 years.
- As of March 2026, owners must be U.S. citizens or U.S. nationals.



YOU'RE INVITED · FOOD & ENTERTAINMENT

BRG Mortgage & Insurance Event

Wednesday, October 21 · 2:00–7:00 PM

BRG Event Center · 1912 Camden Ave, San Jose

Meet lenders, insurance pros and BRG agents. Bring your loan questions, including a loan coming due.

RSVP: 530-282-5228

Examples as of October 2026, not loan quotes. Rates, terms and eligibility change; all loans are subject to lender approval. Confirm current terms with BRG Mortgage or your lender.



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